not needed for building India’s infrastructure. It is the ability to envision the infrastructure of India for 2035 and then go about it by structuring infrastructure projects and auctioning and building these using the policy of DBOT for profitable infrastructure and public-funded construction followed by monetization for unprofitable but desirable infrastructure projects.

Second, road infrastructure policy needs to be revamped completely. BOT (build, own, operate) projects in the Indian roads sector have completely dried up as the cost of construction turned out to be much more than anticipated (also on account of policy change relating to land acquisition compensation after award of concessions) and the traffic projection too low (sometimes, alternative roads were also operated free of toll by the government). The government is keeping roads sector investment going by spending all the funds required at government cost on an EPC (engineering, procurement and construction) basis or annuities.

In the process, the National Highways Authority of India (NHAI), which has responsibility for specifically assigned national highways, and National Highways and Infrastructure Development Corporation Ltd (NHIDCL), which has the responsibility for the remaining highways, have accumulated an enormous amount of debt. The losses embedded in most of their road projects require the two entities to internalize large capital losses whenever these assets are given away on toll, operate and transfer (TOT) basis. These entities are trying, and NHAI has been able to create the first INVIT and to transfer some of the road assets through INVITs. But the INVIT structure, on account of higher embedded returns on units, would increase the capital losses.

All new highways should be given away on DBOT (if assessed profitable). All non-profitable new road assets should be constructed on public funds followed by monetization. All existing road projects, bundled into appropriately sized and structured SPVs, should be given away on TOT basis.